

25STCV30394 25STCV30394

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Case Number: 25STCV30394 Hearing Date: July 8, 2026 Dept: 729

Superior

Court of California

County

of Los Angeles

DEPARTMENT 729

TENTATIVE

RULING

STARR

INDEMNITY & LIABILITY COMPANY,

vs.

TRANSPORTATION

SERVICES OF AMERICA, INC., et al.

Case No.:

25STCV30394

Hearing Date: July 8, 2026

Defendant Transportation Services of

America's demurrer to Plaintiff Starr Indemnity & Liability Company's first

amended complaint is sustained as to the 1st, 2nd, and 3rd causes of action with

20 days leave to amend.

Defendant Transportation

Services of America ("TSA") ("Defendant") demurs to Plaintiff Starr Indemnity & Liability Company's ("Starr") ("Plaintiff") first amended complaint ("FAC") as to the 1st, 2nd, and 3rd causes of action.

(Notice of Demurrer, pgs. 1-2; C.C.P. §§430.10(e), (f), (g).)

Request for Judicial Notice

Defendant's 3/6/26 request for judicial notice of (1) the Court's order Granting Defendant Steam Logistics LLC's Motion to Dismiss Plaintiff's First Amended Complaint in the case entitled Minder LLC v. Real International SCM Corporation, et al., Case No. 2:23-cv-3292-DSF-PVCx, United States District Court for the Central District of California (November 17, 2023); (2) the Court's order Granting Defendant Value Logistics, Inc.'s Motion to Dismiss Plaintiff's in the case entitled Jeunesse, Inc. v. NTG Air and Ocean, LLC, et al., Case No. 2:24-cv-0221-CBM-PVC, United States District Court for the Central District of California (June 17, 2024); (3) the decision in the case entitled Payne, et al. v. Platinum Roadlines, Inc., et al., Case No. 21CECG01118, Fresno Superior Court (August 8, 2024); and (4) the decision in the case entitled Lopez v. Carrillo, Case No. MCV092033, Madera Superior Court (June 6, 2025), is denied as irrelevant.

Meet and Confer

Before filing a demurrer, the moving party must meet and confer in person, by telephone, or by video conference with the party who filed the pleading to attempt to reach an agreement that would resolve the objections to the pleading and obviate the need for filing the demurrer.

(C.C.P. §430.41, emphasis added.)

Defendant's

counsel declares that on March 4, 2026, the parties met and conferred telephonically, and the parties were unable to reach an agreement. (See Decl. of Berberich ¶13.) Defendant's counsel's declaration is sufficient under C.C.P. §430.41.

Accordingly, the Court will consider Defendant's demurrer.

Background

Plaintiff filed its
initial Complaint on October 17, 2025, against Defendant.

Plaintiff filed the
operative FAC on November 17, 2025, against Defendant, alleging three causes of
action: (1) loss of cargo; (2) breach of contract; and (3) negligence/willful
misconduct.

Defendant filed the
instant demurrer on March 6, 2026.
Plaintiff filed its opposition on June 24, 2026. Defendant filed its reply on June 25, 2026.

Summary of Demurrer

Defendant demurs to
the 1st cause of action on the basis that it fails to state facts sufficient to
state a cause of action. (Notice
Demurrer, pg. 2; C.C.P. §430.10(e).)[1] Defendant demurs to the
2nd cause of action on the basis that it cannot be ascertained from the
pleading if the contract at issue is written, oral, or implied by
contract. (Notice Demurrer, pg. 2;
C.C.P. §430.10(g).) Defendant also
demurs to the 2nd cause of action on the basis that the terms of the contract
are not alleged. (Notice Demurrer, pg.
2; C.C.P. §430.10(e).) Defendant demurs
to the 3rd cause of action on the basis that the cause of action is preempted
by the Federal Aviation Administration Authorization Act, 49 U.S.C. §
14501(c)(1) ("FAAAA") and/or Carmack Amendment, 49 U.S.C. § 14706. (Notice Demurrer, pg. 2; C.C.P.
§430.10(e).) Defendant also demurs to
the 3rd cause of action on the basis that the cause of action fails to allege a
duty it owes to Plaintiff. (Notice
Demurrer, pg. 2; C.C.P. §430.10(e).)

Legal Standard

"[A] demurrer tests the legal
sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc.
(2015) 235 Cal.App.4th 385, 388.) A
demurrer can be used only to challenge defects that appear on the face of the

pleading under attack or from matters outside the pleading that are judicially noticeable. (See *Donabedian v. Mercury Insurance Co.* (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (*Aubry v. Tri-City Hospital District* (1992) 2 Cal.4th 962, 967.)

Failure to State a Claim

Loss of Cargo (1st COA)

Enacted as part of the Hepburn Act in 1906, the Carmack Amendment to the Interstate Commerce Act, title 49 United States Code section 14706, applies to motor carrier transportation of property between a location in one state to a place in another state. (49 U.S.C. § 13501; *Project Hope v. M/V IBN SINA* (2d Cir. 2001) 250 F.3d 67, 74-75.) State courts have jurisdiction over Carmack Amendment claims. (49 U.S.C. § 14706(d); *Missouri, Kansas & Texas Railway Co. v. Harris* (1914) 234 U.S. 412, 421, 34 S.Ct. 790, 58 L.Ed. 1377.)

The general scope of the Carmack Amendment federal preemption of state shipping statutes is as follows: “[S]tate statutes are preempted by the Carmack Amendment if they ‘in any way enlarge the responsibility of the carrier for loss or at all affect the ground of recovery, or the measure of recovery.’ [Citation.] [¶] The Carmack Amendment and the set of federal regulations that complement it cover not only the actual transport of goods, but they also govern the claims process.” (*Rini v. United Van Lines, Inc.* (1st Cir.1997) 104 F.3d 502, 504-505, quoting *Charleston & Western Car. R.R. v. Varnville Co.* (1915) 237 U.S. 597, 603.)

While the Carmack Amendment applies to motor carriers and freight forwarders, the statute does not apply to brokers. (*ASARCO LLC v. England Logistics Inc.* (2014) 71 F.Supp.3d 990, 994.) Under the Carmack Amendment, a “broker” is defined as: “A person, other than a motor carrier or an employee or agent of a motor carrier, that as a principal, or agent sells, offers for sale, negotiates for, or holds itself out by solicitation, advertisement, or otherwise as selling, providing, or arranging for, transportation by motor carrier for

compensation.” (49 U.S.C. §13102(2).)

Federal regulations also specify, “[a] broker shall not, directly or indirectly, represent its operations to be that of a carrier. Any advertising shall show the broker status of the operation.

(49 C.F.R. §371.7(b).)

The Carmack Amendment defines “motor carrier” as “a person providing motor vehicle transportation for compensation.” (49 U.S.C. § 13102(14).) Federal regulations further clarify that:

Motor carriers, or persons who are employees or bona fide agents of carriers, are not brokers within the meaning of this section when they arrange or offer to arrange the transportation of shipments which they are authorized to transport and which they have accepted and legally bound themselves to transport.

(49 C.F.R. § 371.2.)

Plaintiff alleges that Defendant TSA was a “motor carrier,” yet pleads no facts showing that TSA owned or operated trucks, issued a bill of lading as a carrier, took possession of the cargo, or otherwise assumed carrier responsibility. (See FAC ¶¶2, 11.) Because Plaintiff’s claim alleges in conclusory fashion that TSA was a carrier without stating sufficient facts, Plaintiff’s first cause of action fails to state a claim.

Accordingly, Defendant’s demurrer to Plaintiff’s 1st cause of action is sustained with 20 days leave to amend.

Breach of Contract (2nd COA)

“To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) plaintiff’s performance of the contract or excuse for nonperformance, (3) defendant’s breach, and (4) resulting damage to the plaintiff.” (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

In an action based on a written contract, a plaintiff may plead the legal effect of the contract rather than its precise language. (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 198-199, as modified

(Nov. 14, 2002).)

Plaintiff alleges that on September 27, 2024, TSA contractually agreed to assume responsibility for the safe handling, storage, forwarding, transportation and delivery of shipments destined for Costco, including the Cargo destined for Monroe Township, New Jersey, in the same good order and condition as when received from Plaintiff's insured, via RND International in La Mirada, California. (FAC ¶12.)

Plaintiff alleges TSA further agreed to provide proactive communication which included the obligation to timely provide written notice of claim to those engaged to physically haul the freight and otherwise comply with TSA's contractual agreements with Friendly Freight in order to protect the interests of the owner of the Cargo. (FAC ¶12.)

Plaintiff alleges that its insured is a third party beneficiary to the foregoing contracts which Defendants, and each of them, materially and substantially breached by failing to safely handle, store, forward, transport and deliver the Cargo, by failing to provide timely written notice of claim to those engaged to haul the Cargo and by engaging CDMAX Transport, a third party, to haul the Cargo. (FAC ¶14.)

Plaintiff alleges that as a legal result of the material breach of, and deviation from the agreements by Defendants, Plaintiff has been damaged in the sum of \$222,432.00, plus miscellaneous expenses, interest and costs, no part of which has been paid by Defendants. (FAC ¶16.)

Plaintiff's cause of action fails to allege whether the contract at issue was written, oral, or implied. (C.C.P. §430.10(g).)

Accordingly, Defendant's demurrer to Plaintiff's 2nd cause of action is sustained with 20 days leave to amend.

Negligence/Willful Misconduct (3rd COA)

Interstate commerce and the flow of goods are an issue of federal domain. (See U.S. Constitution. Art. I, §8, cl. 3 [giving Congress the power to "regulate commerce with foreign nations, among states, and with the

Indian tribes”].) Congress deregulated the trucking industry in 1980. (*S.C. Johnson & Sons, Inc. v. Transportation Corp. of America, Inc.* (7th Cir. 2012) 697 F.3d 544, 548 [citing Motor Carrier Act of 1980, Pub. L. No. 96-296, 94 Stat. 793].) This did not, however, stop states from enacting and enforcing laws affecting prices, routes and services provided by motor carriers. On August 23, 1994, the U.S. Congress enacted the FAAAA. The FAAAA amended the Interstate Commerce Act (1994) effective January 1, 1995. Pub. L. No. 103-105, 108 Stat. 1569, 1607. Among other things, the FAAAA expressly preempted a wide variety of state and local regulations and state law claims affecting motor carriers. (See FAAA §601 (originally codified at 49 U.S.C. §11501(h).))

Further, on December 29, 1995, the U.S. Congress enacted the Interstate Commerce Commission Termination Act (the “ICCTA”), effective January 1, 1996. Pub. L. No. 104-88, 109 Stat. 803, 804. Section 103 of the ICCTA recodified former 49 U.S.C. §11501(h) as 49 U.S.C. §14501(c). In addition, the ICCTA also expanded federal preemption under the FAAAA to include preemption of claims not only against motor carriers but also against transportation brokers in particular. (H.R. Rep. No. 311, 104th Cong., 1st Sess. 119-20 (1995), reprinted in 1995 U.S.C.C.A.N. 793, 831-832.)

The FAAAA provides, in pertinent part:

(b)

Freight forwarders and brokers. –

(1) General Rule. –

Subject to paragraph (2) of this subsection, no State or political subdivision thereof and no interstate agency or other political agency of 2 or more States shall enact or enforce any law, rule, regulation, standard, or other provision having the force and effect of law relating to intrastate rates, intrastate routes, or intrastate services of any freight forwarder or broker.

(49 U.S.C. §§14501(b)(1), emphasis added.)

The language of the FAAAA preemption clause expressly prohibits enforcement of state laws “related to” a “service of any . . . broker” with respect to “the transportation of property.” (49 U.S.C. §14501(c).) The FAAAA defines a “broker” as one who “sells offers for sale, negotiates for, or holds itself out by solicitation, advertisement, or otherwise as selling, providing, or arranging for, transportation by motor carrier for compensation.” (49

U.S.C. §13102(2).) The phrase “related to” in the FAAAA encapsulates state laws “having a connection with or reference to” such services, whether directly or indirectly. (*Dan’s City Used Cars, Inc. v. Pelkey* (2013) 569 U.S. 251, 260.) The FAAAA expresses a broad pre-emptive purpose. (*Id.*) The FAAAA broadly preempts state common law claims and laws directly or indirectly related to the services provided by federally licensed freight brokers with respect to the transportation of property. (*Id.* at pg. 261.) The scope of FAAAA preemption does not cover such laws that have only a tenuous, remote, or peripheral connection to such service. (*Rowe v. New Hampshire Motor Transportation Assn.* (2008) 552 U.S. 364, 370.)

If TSA is a carrier, “the Carmack Amendment established a uniform national liability policy for interstate carriers.” (*Hughes Aircraft Co. v. N. Am. Van Lines, Inc.* (9th Cir. 1992) 970 F.2d 609, 613; see also 49 U.S.C. § 14706(a).) It is well settled that the Carmack Amendment is the exclusive cause of action for interstate-shipping contract claims alleging loss or damage to property.” (*Hall v. N. Am. Van Lines, Inc.* (9th Cir. 2007) 476 F.3d 683, 688.) As such, the statute “provides the exclusive cause of action for interstate shipping contract claims, and it completely preempts state law claims alleging delay, loss, failure to deliver and damage to property.” (*White v. Mayflower Transit, L.L.C.* (9th Cir. 2008) 543 F.3d 581, 584.) The Ninth Circuit has held that common law claims are preempted by the Carmack Amendment “to the extent that it arises from the same conduct as the claims for delay, loss or damage to shipped property.” (*Id.* at pg. 586.)

Here, Plaintiff’s state law claims are based entirely on the same conduct that forms the basis of its claims for property damage under the Carmack Amendment. Accordingly, they are subject to “a complete defense” under the Carmack Amendment. (*White*, 543 F.3d at pg. 584 [stating Carmack Amendment “constitutes a complete defense to common law claims against interstate carriers for negligence, fraud, and conversion”].)

Plaintiff’s argument in opposition that the cause of action is properly alleged based on the U.S. Supreme Court’s recent decision in *Montgomery v. Caribe Transport II, LLC* (2026) 146 S.Ct. 1199 is not well taken. *Montgomery* involved claims arising from a motor vehicle accident resulting in bodily injury and allegations concerning highway safety. The *Montgomery* Court’s analysis focused on the FAAAA’s safety exception and whether state-law

negligence claims relating to motor vehicle safety fell within that exception. Montgomery addressed only whether the FAAAA's safety exception preserves state law negligence claims arising from motor vehicle accidents involving bodily injury. Plaintiff's claim presents a materially different question. Here, Plaintiff seeks recovery solely for economic losses arising from the alleged theft of cargo. Because Plaintiff's claim does not concern motor vehicle safety, it falls outside the FAAAA's safety exception and remains subject to express preemption. Indeed, although the Supreme Court abrogated *Ye v. GlobalTranz Enters., Inc.* (7th Cir. 2023) 74 F.4th 453 and *Aspen American Ins. Co. v. Landstar Ranger, Inc.* (11th Cir. 2023) 65 F.4th 1261, it only abrogated those cases in the context of personal injury claims tied to motor vehicle safety.

Accordingly, Defendant's demurrer to Plaintiff's 3rd cause of action is sustained with 20 days leave to amend.

Conclusion

Defendant's demurrer to Plaintiff's 1st, 2nd, 3rd causes of action is sustained with 20 days leave.

Moving Party to give notice.

Dated:

July _____, 2026

Hon. Daniel M. Crowley

Judge of the Superior Court

[1] The Court notes that Defendant's demurrer does not explicitly demur on the basis of uncertainty and merely cites to the demurrer subsection for uncertainty while stating that the demurrer is for failure to state facts stating a cause of action; this is not sufficient notice to demur on the basis of uncertainty. (See Notice of Demurrer, pg. 2.) Therefore, the Court will not address Defendant's argument related to uncertainty.